certain frequencies are available for unlicensed use, and back this up with rules for fair play by devices as has been done by the US FCC.

In recent years, there has been a debate in India about the V-band and the E-band, where the Department of Telecommunications has a choice between making it unlicensed spectrum or auctioning it off to private persons. [4] We would favour the former: a non-state solution is generally superior, particularly under conditions of low state capacity.

Do we have the state capacity? There are many elements of market failure which are legitimate areas for state intervention, and such state intervention is being done in mature market economies. But in India, we have much less state capacity, so certain areas of work are outside our budget constraint and should be dropped.

Intellectual capacity and its limitations

Social systems are complex creatures, and it requires a great deal of intellectual capacity to devise the right interventions. In this book, we repeatedly argue in favour of crossing the river by feeling the stones, an empirical process of introducing small interventions and watching the empirical evidence. We should know that most of the time we are wrong, so we should always be willing to backtrack based on the empirical evidence.

The design of interventions and the slow careful process of rolling out (and backtracking) are a research process. We should measure the economy well. We start with a theory about the world, introduce an intervention, find out whether it worked, and then make the next move. The development of this kind of intellectual capability is integral to developing state capacity, and it is hard to obtain this.